Month 6

The Ideal swing Trading conditions for any Market :-

What is swing Trading :-

- The discipline of trading predictable price movements in the market with high degree of consistency.
- Buying in the Bullish conditions in the market
- selling in the bearish conditions in the market
- swing trading is a form of intermediate term trading with trade durations of 2 weeks or longer in time.

What is goal of swing Trading :-

- Capitalize on the effects of larger entities moving into a market and causing a significant displacement in Price.
- Since trade durations can be 2 weeks or longer, potential rewards are considerable.
- Trade objectives of 200 pips to 500pips in magnitude are possible rewards for such setups.

Every Market Isn't Ideal for Setups :-

- Avoid favorite markets in general for swing Trading purposes.
- Large moves every year rotate in and out of different markets.
- There is no "standard" swing trading market or pair.
- Every 3 Months there is a new opportunity forming for swing trading.
- What once be a big mover will not always be the next big mover this time... Investigate.

Market Profile Matters :-

- Markets move from one profile to the next - in all timeframes.
- on Monthly and weekly charts look for the current Market profile for your markets of study.
- Avoid lackluster or lethargic markets that have little to no movement in last 3 Months.

Trending Markets = Large flows :-

- If the aim in swing trading is to position ourselves in moves that are likely to move a large distance - we should be looking for markets that are trending.
- If a market is confined to an obvious Trading Range - this doesnot indicate it has high odds for a directional setup.
- Building your watchlist of markets with trending market profiles on the monthly and or weekly - puts high probability behind your setups.

Be willing to Err on the Direction :-

- Avoid the temptation to pick market Tops and Bottoms in Price Action.
- It is far more likely to see the existing long term trending Market Profile to influence Price Action over a long term reversal.
- Focus on the long term trend and the "market tide" will carry your trade to the winner circle more often than not.

Elements to successfull swing Trading :-

- obvious Trend in HTF charts
- Institutional orderflow on HTF clear
- Interest Rate Market supports the trade
- COT Data confirms [Enhances Probability]
- opposing PDA obvious in charts (Premium Discount Array)
- seasonal tendency [Enhances Probability]
- supporting Intermarket Analysis.

Institutional sponsorship :-

- when buying are there signs of relative strength Analysis to support the trade?
  - Example :- EURUSD on lower low - USDX Lower high
- when shorting are there signs in Relative strength Analysis to support the trade.?
  - example :- shorting USDchf on lower high - USDX higher high.

Bank Accumulation Distribution :-

- Are the DOWN candles becomming "support" and seeing higher prices?
- Are the swing highs breaking and seeing higher highs?
- Are the UP candles becomming "Resistance" and seeing lower prices?
- Are the swing lows breaking and seeing lower lows?

Clear Price Action & Levels :-

- Above and below the Market Price the PDA are obvious and easy to identify?
- Price not traded at in recent weeks or Months left in imbalance basis Monthly & weekly?
- The cleanest Price action are the most favourable markets to trade in. Less chance for erroneous Price action to distract or fool you.
- Price respecting Institutional levels?

Rule Based Conceptual Methods :-

- Every trade is passed through a rule based filtering process.
- The rules are standardized and static.. not changing each trade setup.
- When trade setups fail the filtering process - the trade is passed on. Period - no exceptions.
- When the trade setups pass the filtering process - the trade is executed on. *Risk & Equity Management permitting.

Probabilities Reward Diligence :-

- Limiting setups to 3:1 Reward to Risk permits as low as 34% accuracy to be net profitable.
- That's making money when you're wrong 66% of the time
- If we can frame our setups with rewards of 5 times our risk - we have higher odds of probability and we endure losses much easier.
- The setups that have the most movement potential offer the better R:R ratios.

Mock trading Plan Homework :-

- outline what you would look for initially for opportunities.
- what would you identify as a trade setup for a valid swing trade.
- How would you determine profit objectives?
- How would you frame the Risk Management
- what would your filter process consist of.

Classic swing Trading Approach :-

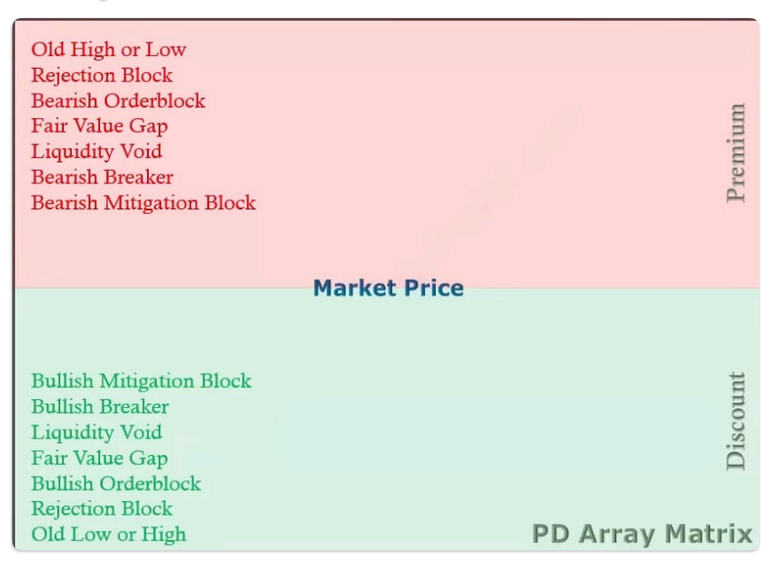
The PD Array Matrix :-

When defining the Market conditions we think in terms of where the price can reach for. Both in a rally and in a decline. This is foundation to determining likely Market direction.

The PD Arrays that have been traded to or executed on most recently indicate the opposite PD array spectrum will be reached for.

If discount Arrays provided support for price - probabilities increase that the premium arrays will be sought above market Price.

If premium Arrays have provided Resistance for Price - Probabilities increase that Discount Arrays will be sought below the market price.


Old High or Low
Rejection Block
Bearish Orderblock
Fair Value Gap
Liquidity Void
Bearish Breaker
Bearish Mitigation Block
Premium
Market Price
Bullish Mitigation Block
Bullish Breaker
Liquidity Void
Fair Value Gap
Bullish Orderblock
Rejection Block
Old Low or High
Discount
PD Array Matrix

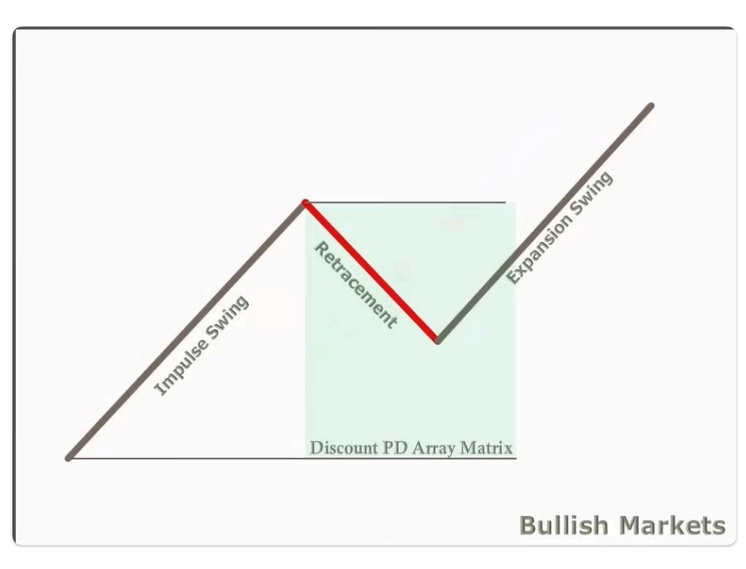
HTF Sequence :-

Shorting opportunities -
Monthly chart Sell Program
weekly chart Sell Program
Daily chart Sell Program
4H chart Sell Program

Buying opportunities -
Monthly chart Buy Program
weekly chart Buy Program
Daily chart Buy Program
4H chart Buy Program

The General concept :-

- Market is Poised to trade Higher on HTF
  - (i) Seasonal Tendency
  - (ii) Interest Rate Driven
  - (iii) commitment of Traders
  - (iv) Intermarket Analysis supports Bullishness
- Market Rallies higher then retraces
- Market expands up to higher highs

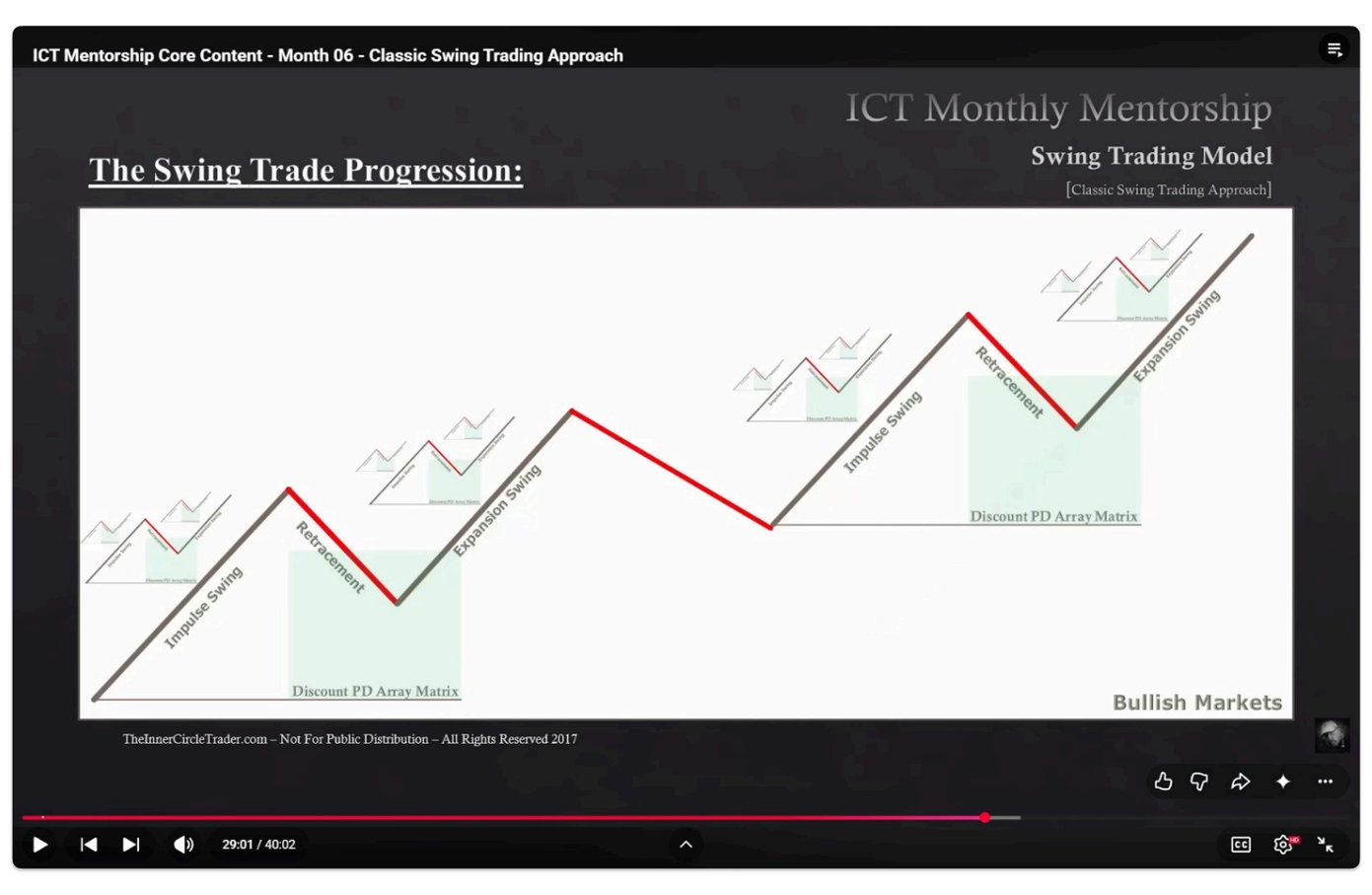

Impulse Swing
Retracement
Expansion Swing
Discount PD Array Matrix
Bullish Markets

The swing Trade Procedure :-

(i) Determine the 9-18 Months Market Profile on the Monthly & weekly charts
(ii) Determine the Monthly PD arrays - refer to the active discount arrays
(iii) If Monthly Discount array is supporting Price Determine Premium arrays
(iv) when monthly Discount array is active - Move to weekly chart
(v) Determine weekly PD arrays - refer to the active Discount arrays.
(vi) If weekly Discount array is supporting the price Determine premium arrays.
(vii) when weekly discount array is active - Move to daily chart.
(viii) Determine Daily discount Arrays - refer to active Discount arrays.
(ix) when daily Discount Array is active - Move to 4Hour chart
(x) Determine 4H Discount Arrays - refer to active discount arrays.
(xi) Buy all 4H Discount Arrays and scale out at daily, weekly & Monthly Premium arrays.
(xii) Look to trade setups that offer atleast 3times the range b/w your entry & closest premium array in all timeframes.

Setup failure Protocol :-

(i) If the buy setup on the 4H discount array fails and trade results in a loss - look for a lower priced 4H discount array to buy at.
(ii) If the 4H chart has no more Discount arrays to buy at - refer to the refer to the Daily - weekly - Monthly Discount arrays to Buy at below price.
(iii) At the lower discount Array - Buy with the 50% of the position size of the initial or previous failed trade utilized.
(iv) Do not try to win all the lost equity back in the subsequent trade.
(v) Always confirm Lower time frame 4H premium arrays give way or fail price moves in your favor - and new discount array support price as it moves towards the premium Arrays on the HTF charts.


ICT Mentorship Core Content - Month 06 - Classic Swing Trading Approach
ICT Monthly Mentorship
Swing Trading Model
[Classic Swing Trading Approach]
The Swing Trade Progression:
Impulse Swing
Retracement
Expansion Swing
Discount PD Array Matrix
Bullish Markets
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29:01 / 40:02

& vice versa for Bearish scenario.

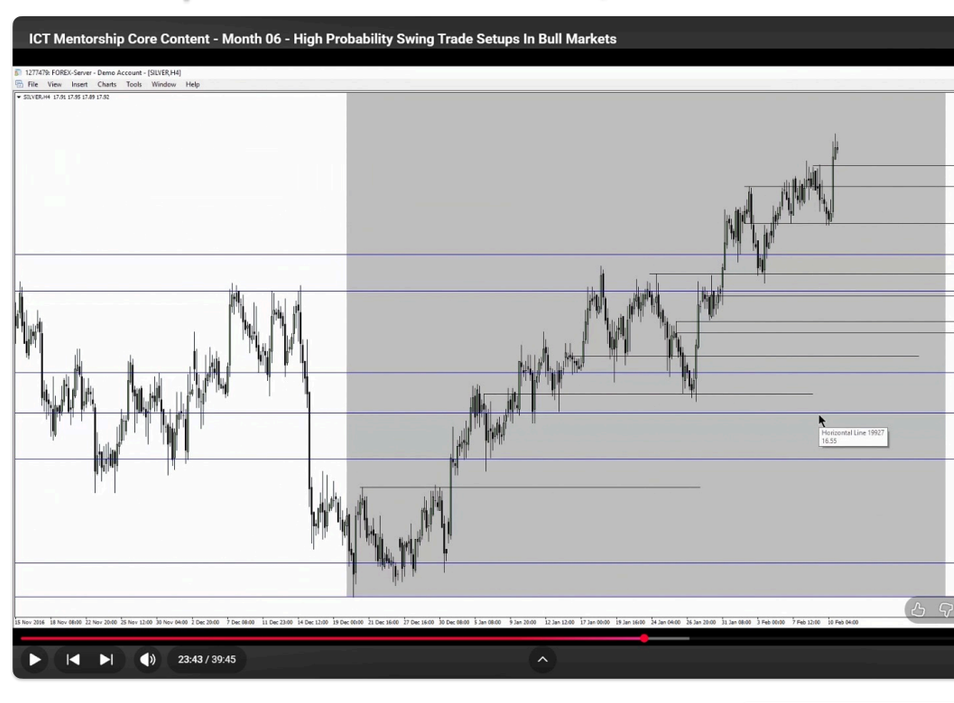
High Probability swing Trade setups in Bull Markets :-

Bullish MWD sequential :-

Monthly Bullish weekly Bullish Daily bullish
→ Buy Daily Bullish Discount Arrays
→ Buy 4H Bullish Discount Arrays

Monthly Bullish Weekly Bullish Daily Bearish
→ Buy Daily Bullish discount arrays at or "nested" in weekly Discount arrays.
→ Buy 4H Bullish discount arrays at daily or "nested" in weekly Bullish discount arrays
* Avoid Buying Daily Discount Arrays if Daily has just posted a higher High and rejected as a Bearish Breaker.

Monthly Bullish Weekly Bearish Daily Bearish
→ Buy Daily Bullish Discount Arrays at or "nested" in Monthly Discount Arrays.
→ Buy 4H Bullish Discount arrays at weekly and or "nested" in Monthly Bullish Discount arrays.
* Avoid buying weekly Discount arrays if weekly has just posted a higher high & rejected - as a Bearish Breaker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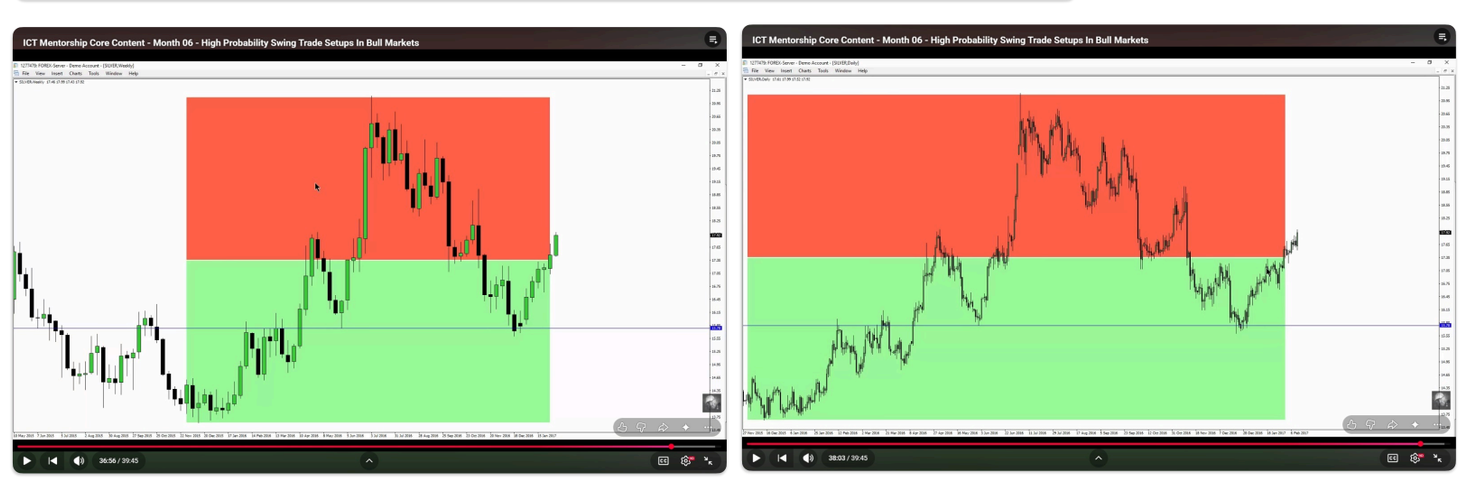
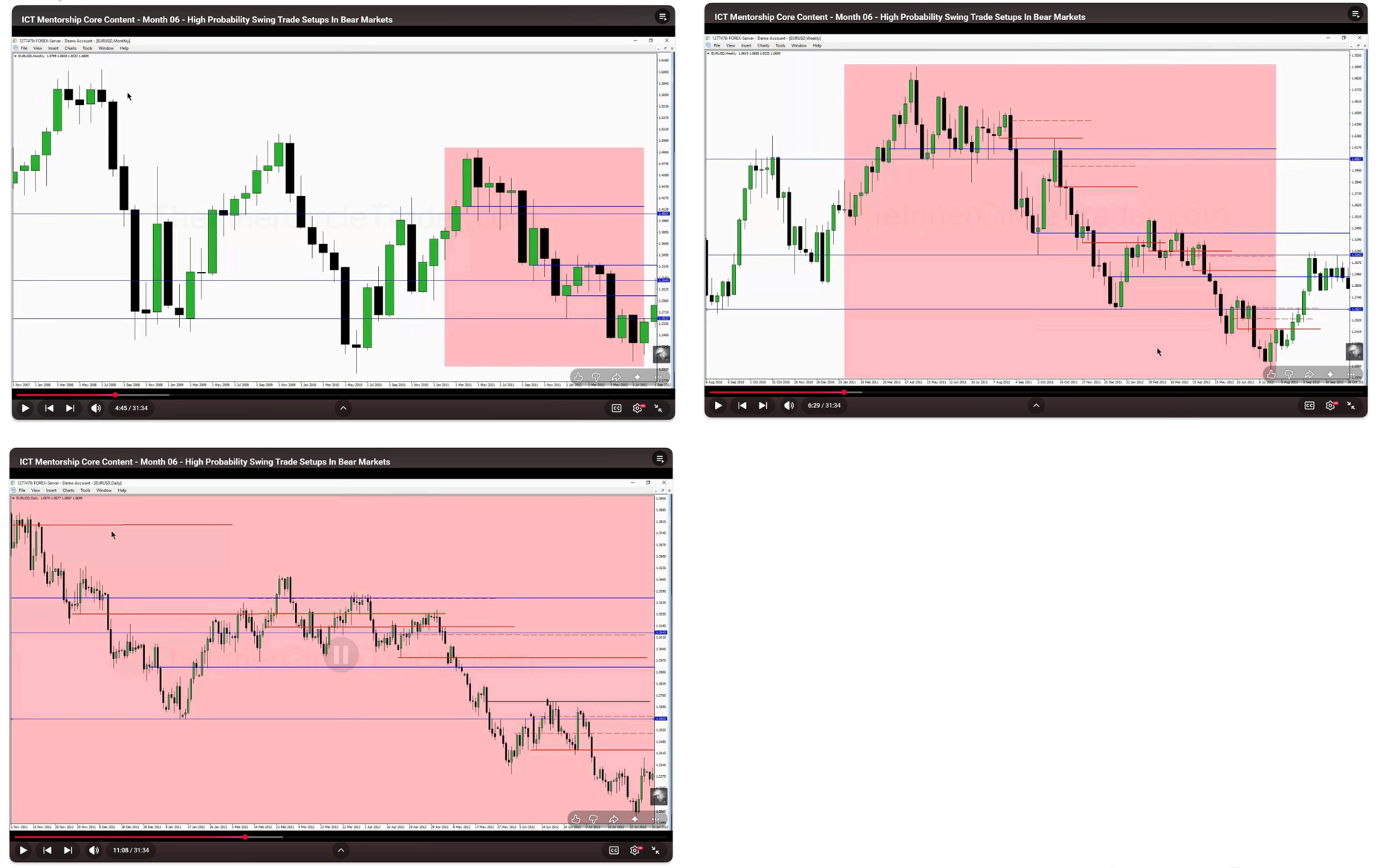
→ Black lines are down candles from daily & Blue lines are down candles from 4H


ICT Mentorship Core Content - Month 06 - High Probability Swing Trade Setups In Bull Markets
ICT Mentorship Core Content - Month 06 - High Probability Swing Trade Setups In Bull Markets

↳ Premium zone respects Bearish orderblocks while discount zone respects Bullish orderblocks.

High Probability swing trade setups in Bear Markets :-

Same theory as discussed for Bull Markets just do the opposite.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ICT Mentorship Core Content - Month 06 - High Probability Swing Trade Setups In Bear Markets

Reducing Risk and Maximizing Potential Reward in swing setups :-

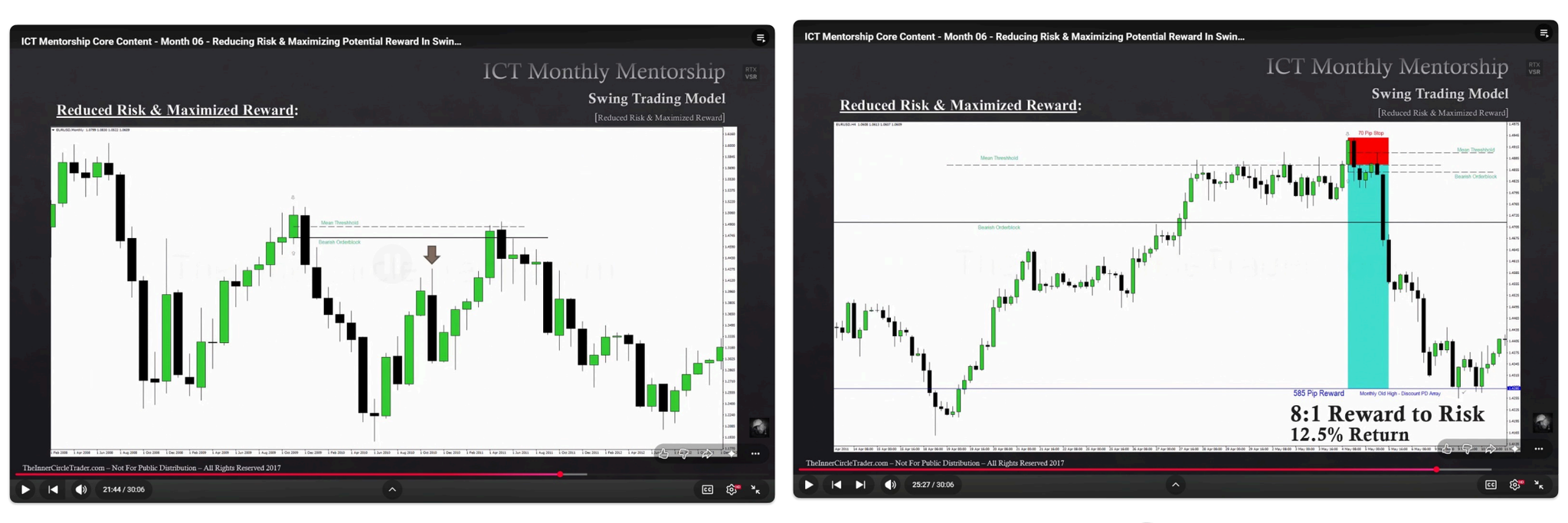
Reducing Risk :-

(i) Begins with knowing your maximum risk per setup or Trade.
(ii) You should not allow high risk% per trade - Gambling.
(iii) Professionals look to frame setups with low risk High reward.
(iv) with swing trades ONLY framed on Monthly or weekly levels Ideally.
(v) HTF PD arrays and 4H entries permits your setups tighter stops.
(vi) Use nothing less than 3:1 reward to risk ratio conditions.
(vii) Leverage is the holy grail in your trading. Control it - not max it

Maximizing Reward :-

(i) Key is only trade on HTF - Monthly & Weekly levels.
(ii) Timing 4H entries on HTF levels offers maximum R Multiples.
(iii) HTF levels that offer ranges of 200 - 500 pips can yield upto 10R wins.
(iv) Remember there are typically 1-2 swing trades per 4-6 weeks
(v) Removing high leverage & coupling HTF setups with high R is key.
(vi) consider leverage of 3:1 leverage and 10R setups can yield upto 15%.
(vii) Managed funds with 1.5% risk and 3:1 leverage using 50 pips stops.
(viii) Focusing on 6 swings per year alone that offer 10R can double equity.

Target = 6 swing trades per year with risk 1.5% & Risk to Reward 1:10 (Doubled the equity)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ICT Monthly Mentorship
Swing Trading Model
[Reduced Risk & Maximized Reward]
Reduced Risk & Maximized Reward:
21:44 / 30:06
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ICT Monthly Mentorship
Swing Trading Model
Reduced Risk & Maximized Reward:
8:1 Reward to Risk
12.5% Return
29:27 / 30:06

Keys to Selecting Markets that will move Explosively :-

Hallmarks to Explosive swing Trades :-

(i) Major Market Analysis one sided - Trending Profiles
(ii) Intermarket Analysis confluences
(iii) COT Hedging Program Alignment
(iv) open Interest
(v) Seasonal Tendency
(vi) Volatility filter confirms contraction
(vii) Major News headlines
(viii) Market sentiment

The Million Dollar swing Setup :-

→ Seasonal Tendency
→ Major Market Analysis
→ Intermarket Analysis
→ Top down Analysis
→ Trade setup
→ Trade Management

Seasonal Tendency :-

Is there a seasonal tendency to buy presently or soon?
- If [Yes] - then proceed to Major Market Analysis process.
- If [No] - then consider another asset or market that does.
  * If not the other asset or market offers a seasonal tendency - wait for next one.

Major Market Analysis :-

Are the Interest rate markets & or currency markets [USDX] Trending?
if [Yes] - then proceed to commodity & stock filter process
if [No] - then consider short term or day trades for now. wait for swing trading conditions.

Are the commodity & or Stock Market Trending?
If [Yes] - then proceed to Intermarket Analysis process
If [No] - then consider short term & day trades for now. wait for swing trading conditions.

Intermarket Analysis :-

for foriegn currencies or Metal Bullish swing trade setups.

→ COT Hedging Program : Are commercials buying or selling currently?
if [Buying] - then proceed to correlation Analysis process
if [Selling] - then consider short term or day trades. Wait for swing trading conditions.

→ correlation Analysis Process :- Is the USDX supporting Bearish price action for US Dollar?
If [Yes] - then proceed to commodity filter Process
If [No] - then consider short term & day trades for now. wait for swing trading conditions.

→ commodity filter Process :- Are commodities Rallying higher, Breaking old highs, Rejecting old lows?
If [Yes] - then proceed to open Interest filter process
If [No] - then consider short term or day trades for now. Wait for swing trading conditions.

→ open Interest filter process :- Is open Interest Dropping or has it Dropped 10 to 15% or more. [commercial short covering]
if [Yes] - then proceed to Top down analysis process
if [No] - then wait for swing conditions.

& vice versa for Bearish swing trade setups.

Top Down Analysis Process :-

(i) Note the 9-18 Month history.
(ii) Identify all PD arrays on Monthly, weekly, Daily & 4H timeframes & transpose all to your 4H timeframe chart.
(iii) Note the IPDA data ranges on the daily chart that are 20-40-60 days back from today. Look for PD arrays to assist in their identification.
(iv) If all the IPDA Data Range PD Arrays are exhausted or traded to for 20 day lookback - move out to 40 day lookback then 60 day lookback.
(v) Look for the IPDA data ranges and PD arrays to converge with one another to determine high Probability Institutional order flow & levels.
(vi) Based on Bullish & Bearish stance or premise you are trading - focus on the respective PD arrays for trade setups.
 (a) If Bullish → focus on Discount Arrays for long
 (b) If Bearish → focus on Premium Arrays for short

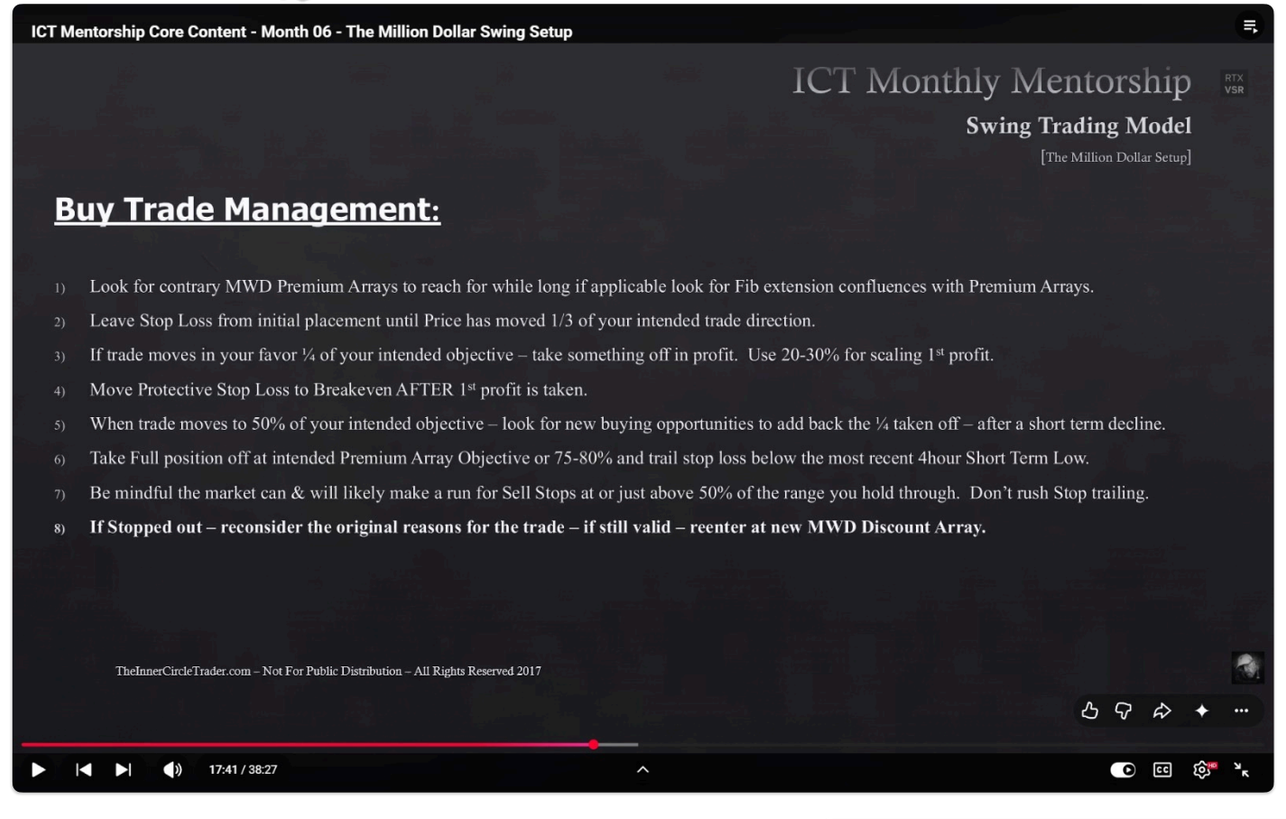
Buy trade setup :-

(i) Note All Monthly & weekly Discount Arrays. The best odds are seen with these levels offering an explosive rally.
(ii) confirm a MWD Discount Array entry [support] with USDX weakness for SMT Divergence.
(iii) If USDX confirms Bearishness while trading at Discount Array on your currency of trade... execute trade entry.

Trade entry :-
(i) If buying a Bullish Breaker or Mitigation Block - ideal entry technique is buying on a stop.
(ii) If buying on a Bullish liquidity void or fair value gap - ideal entry technique is buying on a stop.
(iii) If buying a Bullish orderblock, Rejection Block or Below an old low - ideal entry technique is buying on a limit.
* use Position entry techniques for limit & stop orders.
& vice versa for sell trade setups

Buy Trade Management :-

(i) Look for contrary MWD Premium arrays to reach for a long if applicable look for fib extension confluences with premium arrays.
(ii) Leave stoploss from initial placement until Price has moved 1/3 of your intended trade direction.
(iii) If trade moves in your favor ¼ of your intended objective - take something off in Profit.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ICT Monthly Mentorship
Swing Trading Model
[The Million Dollar Setup]
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Buy Trade Management:

1) Look for contrary MWD Premium Arrays to reach for while long if applicable look for Fib extension confluences with Premium Arrays.
2) Leave Stop Loss from initial placement until Price has moved 1/3 of your intended trade direction.
3) If trade moves in your favor ¼ of your intended objective – take something off in profit. Use 20-30% for scaling 1st profit.
4) Move Protective Stop Loss to Breakeven AFTER 1st profit is taken.
5) When trade moves to 50% of your intended objective – look for new buying opportunities to add back the ¼ taken off – after a short term decline.
6) Take Full position off at intended Premium Array Objective or 75-80% and trail stop loss below the most recent 4hour Short Term Low.
7) Be mindful the market can & will likely make a run for Sell Stops at or just above 50% of the range you hold through. Don't rush Stop trailing.
8) **If Stopped out – reconsider the original reasons for the trade – if still valid – reenter at new MWD Discount Array.**

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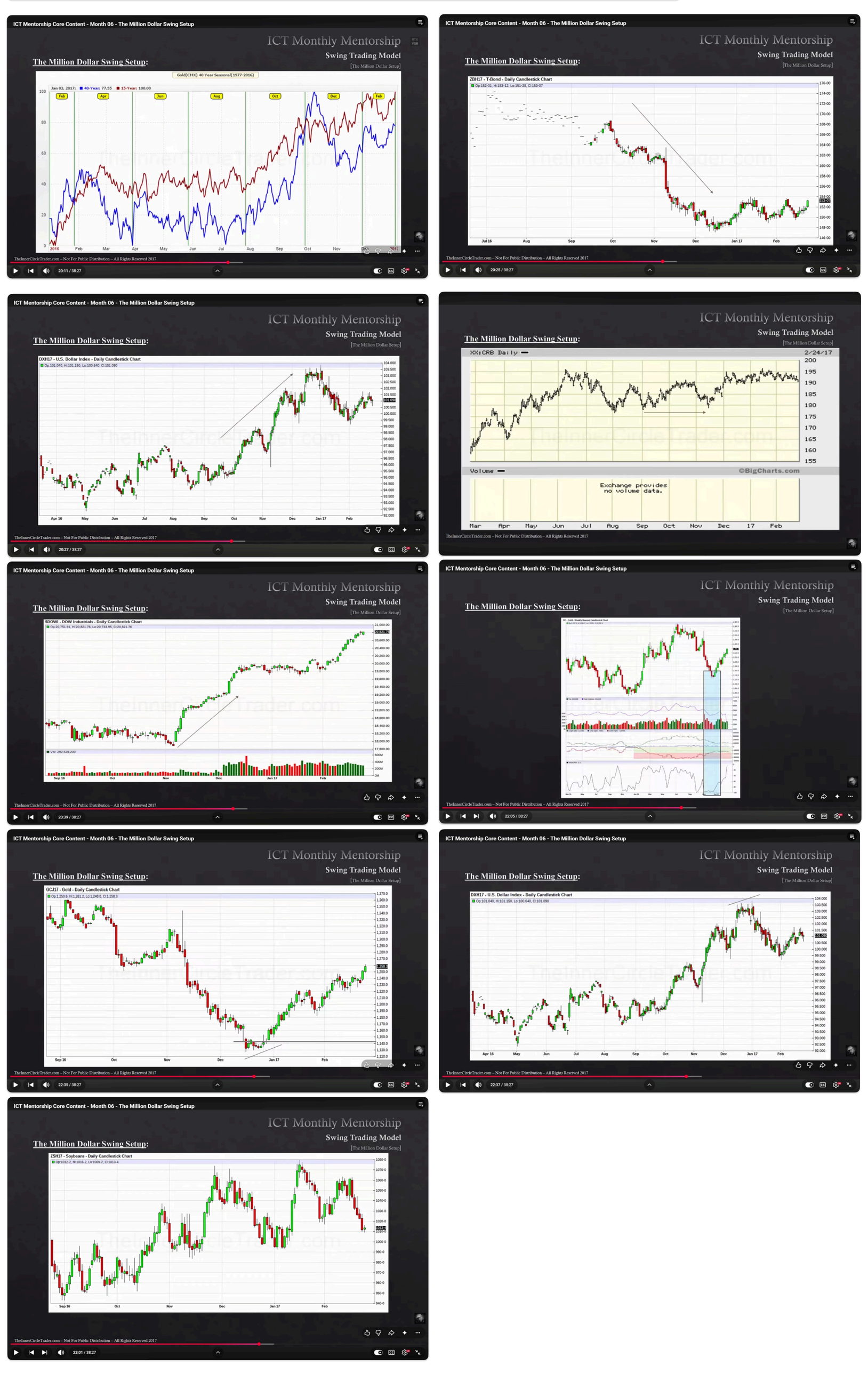
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[The Million Dollar Setup]
The Million Dollar Swing Setup:
Gold(CMX) 40 Year Seasonal(1977-2016)
ZBH17 - T-Bond - Daily Candlestick Chart
XX:CRB Daily
Exchange provides no volume data.
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